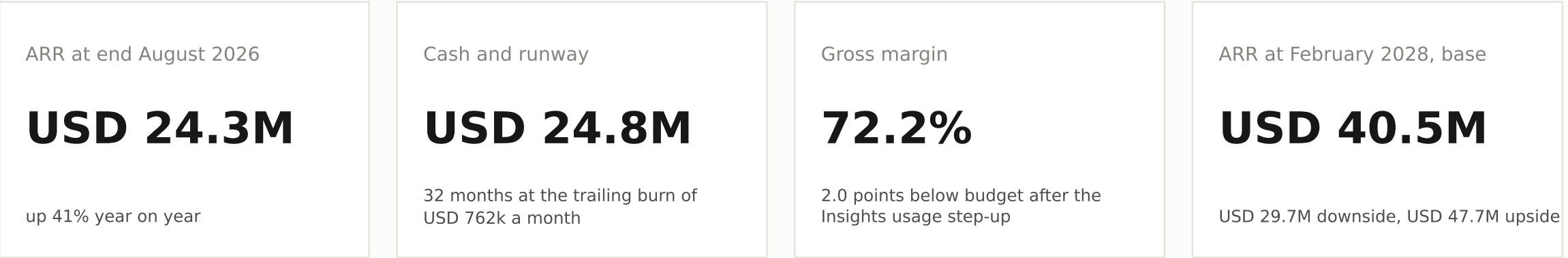


Recommendation: Phased plan; one-year cloud commitment

22 planned hires phased from October 2026 to May 2027, a one-year cloud commitment at a 25% discount, and the front-loaded plan held until net retention recovers.



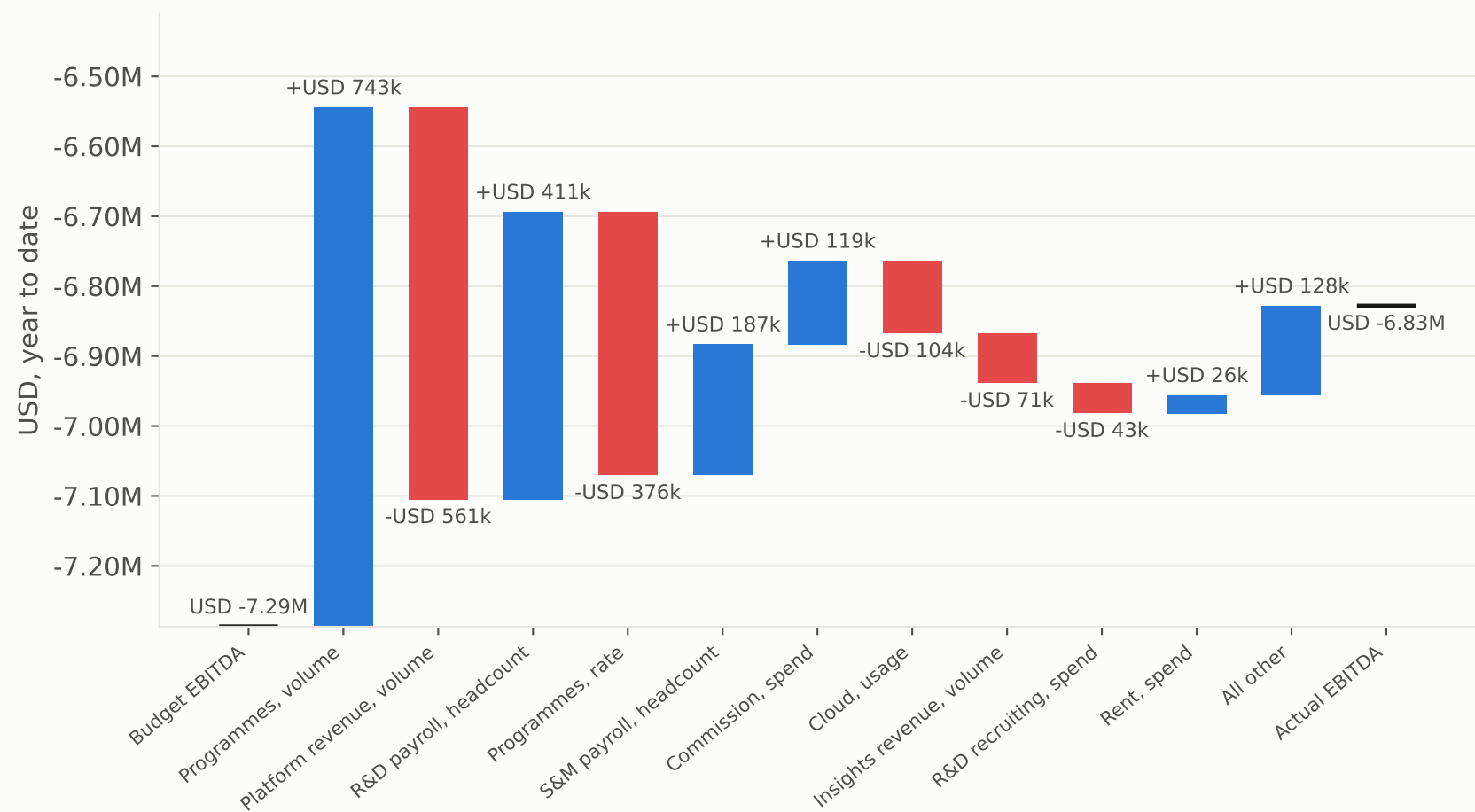
Guardrails applied to every option

Downside cash runway never below 18 months in any month. Base gross margin never below 74% in any month. Objective: highest base-case ARR at February 2028 among options that pass both.

Recommended plan in the downside: runway bottoms at 23 months, cash at USD 13.5M, gross margin at 74.6%.

2026 so far: EBITDA +USD 459k against budget

January 2026 to August 2026. 10 of 29 driver components are material; the rest are grouped under All other.

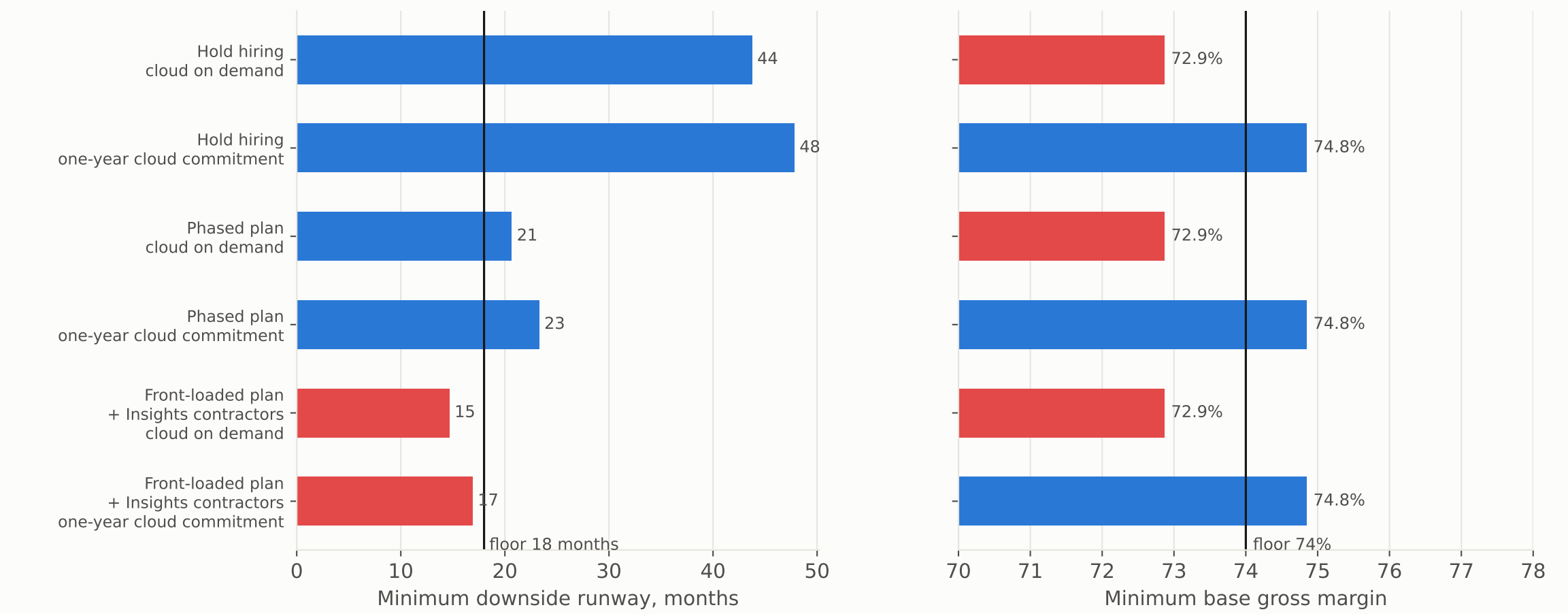


What moved

- Fewer customers than budget: -USD 561k of platform revenue (sales productivity and churn).
- Price increase landed at 6% against 5%: +USD 99k.
- Insights compute usage up 32%: -USD 104k on cloud hosting.
- Engineering hires two to five months late: +USD 411k on R&D payroll.
- Programme spend per new customer over budget: -USD 376k, more than offset by the smaller volume.

Six options, two guardrails, one survivor per hiring plan

Three hiring plans crossed with cloud on demand or a one-year commitment, each run under base, upside and downside.



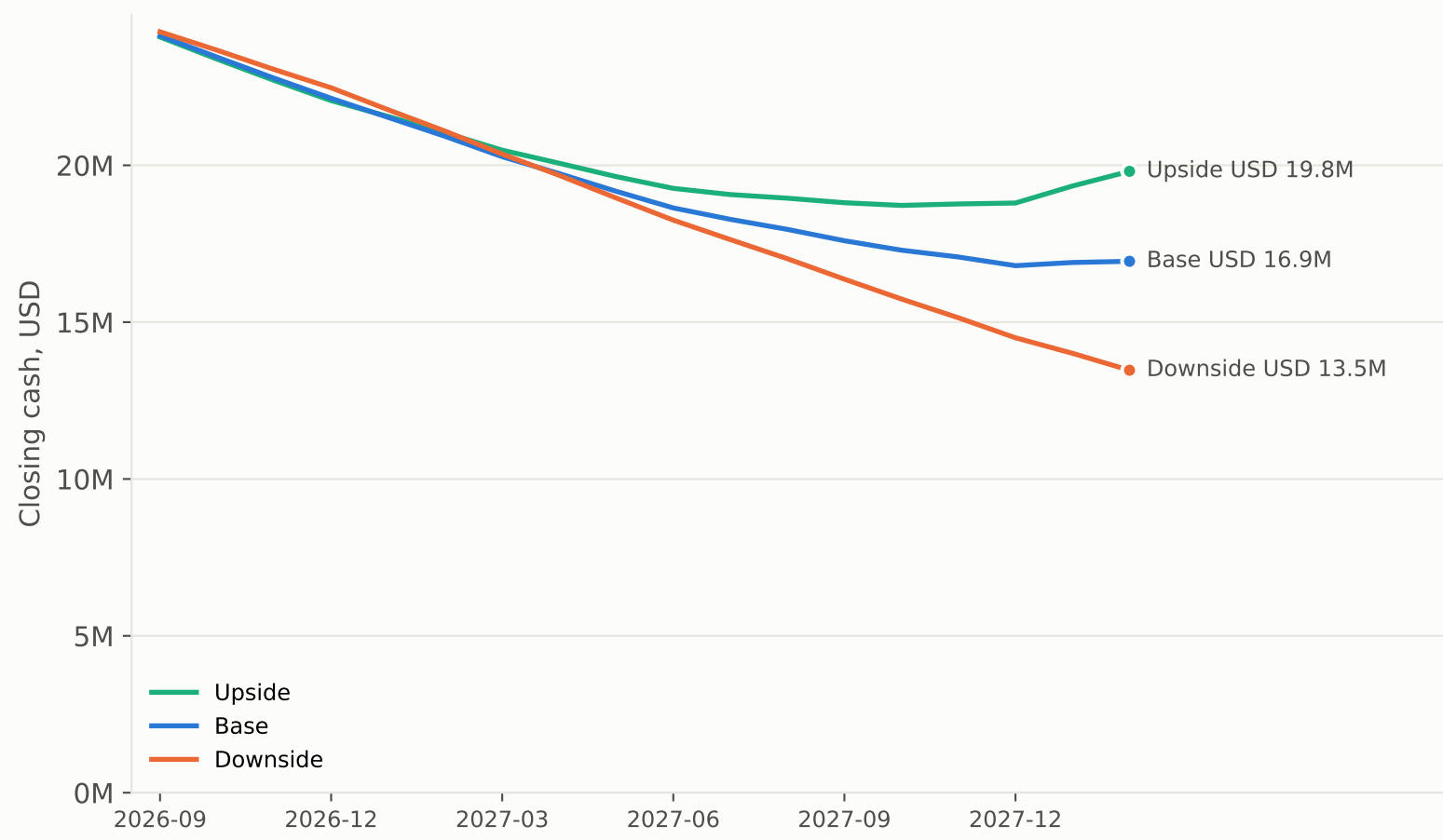
Blue passes, red fails. Recommended: phased plan; one-year cloud commitment, ARR USD 40.5M at February 2028 in the base case, USD 1.7M less than the front-loaded plan, which fails the runway floor by 1.1 months.

Northlight Software (fictional). Generated from the planning model; every figure traces to a model output.

3 / 5

The recommended plan: cash under three scenarios

22 planned hires (14 R&D, 7 sales and marketing) plus a 444,820-unit cloud commitment. Plan people cost over 18 months: USD 3.8M.



Hires by function and location

G&A: 1	Austin: 7
R&D: 14	Montreal: 8
S&M: 7	Paris: 7

Outcomes at February 2028

- Base: ARR USD 40.5M, cash low USD 16.8M, runway min 33 months
- Upside: ARR USD 47.7M, cash low USD 18.7M, runway min 33 months
- Downside: ARR USD 29.7M, cash low USD 13.5M, runway min 23 months

Risks, and what the board is asked to approve

Net retention keeps slipping

Base 105%, downside 96%. Every review since the budget has moved it down. The downside case already carries 96% and still passes both guardrails for the recommended plan.

Sales productivity does not recover

0.90 new customers per ramped account executive a month in the base, 0.50 in the downside. The 7 go-to-market hires are the first to defer if Q4 2026 stays at the 2026 run rate.

Committed cloud units go unused

The downside strands USD 178k over 18 months against a base-case saving of USD 0.8M. The commitment is sized at 85% of expected base usage for this reason.

R&D weight

R&D is 52% of revenue, above the benchmark range for equity-backed SaaS. The phased plan grows R&D more slowly than revenue; the front-loaded plan would not.

Decisions requested

1. Approve the phased hiring plan: 22 requisitions, October 2026 to May 2027.
2. Approve the one-year cloud commitment before the next renewal window.
3. Defer the front-loaded plan and the Insights contractor push to the Q1 2027 review, conditional on net retention at or above the base assumption.
4. Keep the two guardrails as standing policy: 18 months of downside runway, 74% gross margin floor.